VII

Countries, including India, have often tried to argue for buying stakes in commodity producers in faraway lands as a way of ensuring national security. This article in *Straight Talk* in December 2006 explains why that is mistaken.

The Great Game Again?

Some commentators see the desperate search by countries to acquire commodity-producing firms in other (typically poor, developing) countries as a repeat of the Great Game – the tussle among powers like Britain and Russia for influence in the Middle East and Central Asia during the 19th century. In this view, those that acquire the greatest share of commodity producers early on will enjoy the greatest economic security in the future, as growth in China, India, and other populous developing countries creates shortages of commodity resources. Economic security is the new justification for purchases, such as minority stakes in opaque companies in poorly governed countries, that would otherwise make little business sense. In this replayed Great Game, will those who move fastest and farthest acquire the most economic protection? Does the gain from economic security trump common business sense?

A QUESTIONABLE BUYING SPREE

I'll leave aside the question of whether we're inevitably headed for a sustained period of commodity demand outstripping supply, even though in the past such predictions have proved unfounded. Let me take as given that such an eventuality is possible. To simplify the argument, I'll assume that state-owned companies undertake the acquisitions and that all income and value obtained flow directly to the citizens of the acquiring state – a questionable assumption at best.